CHAPTER

8 Indian Economy Before and After Independence

Freedom is never dear at any price. It is the breath of life. What would a man not pay for living?

–Tyler Cowen

Learning Objectives

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1 To understand the experience of India during British Rule

2 To analyse the efforts taken by the Government of India after Independence,

8.1 Introduction

This chapter discusses the major events that took place in India before and after Independence. India was a colony for long. Colonialism refers to a system of political and social relations between two countries, of which one is the ruler and the other is its colony. The ruling country not only has political control over the colony, but it also determines the economic policies of the subjugated country. Thus, the people living in a colony cannot take independent decisions in respect of utilisation of the country's resources and important economic activities. India had the bitter experience of colonialism.

8.2 Indian Economy during the British Period

Indian's sea route trade to Europe started even during the Sangam Age and took a new turn only after the arrival of **Vasco da Gama** in Calicut, India on May 20, 1498. The Portuguese had traded in Goa as early as 1510. In 1601 the English East India Company was chartered, and the English began their first inroads into the Indian Ocean. In 1614 Sir Thomas Roe was successful in getting permission from **King Jahangir** for setting up factories and slowly moved in to all parts of India.

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